



ANNUAL AUDIT

POLICY 4-5

PURPOSE: To establish guidelines on audit of accounting records of the cooperative.

INTRODUCTION:

Section 2, Article XI of the Cooperative's By-Laws states that "The Board shall after the close of each fiscal year, cause to be made by a Certified Public Accountant, a full and complete audit of the accounts, books, and financial conditions of the cooperative as of the end of such fiscal year".

Implementing this provision, the Board hereby adopts the following policies:

POLICIES:

1. Books of accounts and supporting records of the cooperative shall be completely audited annually by independent Certified Public Accountant selected by the Board. Such audit shall be in accordance with generally accepted auditing standards.
2. The scope of the audit, the fees to be paid and the time limit for the completion of the audit shall be agreed upon by the CPA and the Board before commencement of the audit.
3. Agreement shall be made before the audit starts within two (2) months following the close of the period to be covered by the audit.
4. The CPA shall be requested to present the report to the Board in person. The audit report shall be made part of the minutes and made available to any member upon request.

IMPLEMENTATION:

The Board of Directors and the General Manager shall be responsible for the Implementation of this policy.

(SGD) MANUEL E. GONZALES
President

(SGD) ABUNDIO M. AWAL
Secretary

APPROVED per Resolution No. 17-789 dated January 31, 1978.